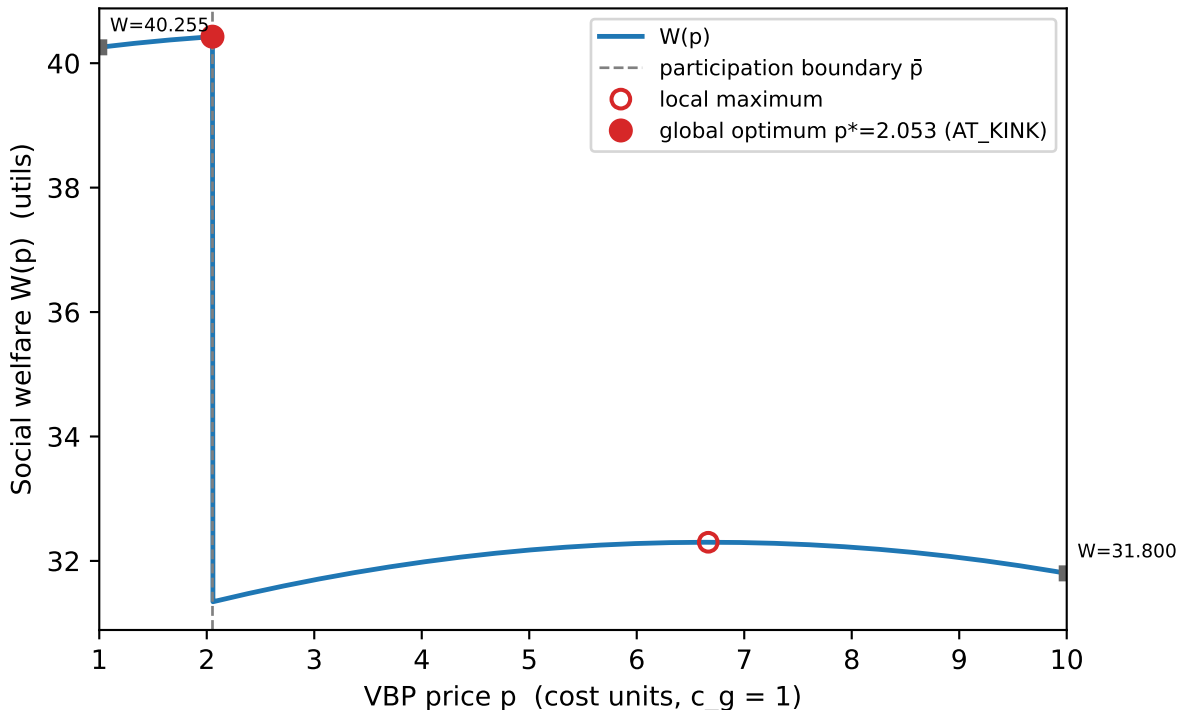


Linear demand $D(s)=a-bs$: interior LOCAL maximum on the originator branch ($p=6.67$); global optimum at the kink $\bar{p}^-$ at these parameters



Numerical example (existence of an interior local maximum at these parameters, not a general theorem) — NOT A PROOF. Feasible interval $[c_g, 10]$. Baseline (illustrative): $N=1$, $c_g=1$, $c_o=2$, $F=0.5$, $V_o=0.8$, $\text{lam}=0.7$